Global inflation risks rise as sustained energy disruption feeds through to transportation and production costs

Outbreaks of war in the Middle East have led to drastic inflation globally with benchmarks oil prices rising to above 50% from 2025 levels

Introduction

The Iran-US conflict has driven gas prices to go exponentially uphill with sanctions set against the attacks on the Middle Eastern nation. The Strait of Hormuz, where a major portion of ships globally transporting oil pass through, is closing for the first time in its history of operation. With 20% of the world's oil passing through this maritime route, the world's economy suffers an inflation that damages prices for the most common necessities: transportation and production costs. Globally, societies rely on transportation as part of their daily lives as well as the efficiency and capacity of factories producing their resources. This disruption has proved to cause extreme harm for those unable to afford it.

Overview

The conflict in the Middle East has led to a loss of 400 million barrels, or four days of world oil supply, with oil prices now rising above to over $110 per barrel according to some projections. The International Monetary Fund's (IMF) reference forecast has reported increases in energy prices by 19% and, at worst, expects inflation to increase globally by 6%. The danger of the economic situation is that 3.4 billion people are living in countries that spend further on debt than necessities such as education and health. Furthermore, some markets are still rebuilding post-COVID-19 and this now serves as a second-stressor preventing their recovery.

With conflicts in the 1970s also affecting trade of these necessities, chemical producers were affected by major oil disruptions such as the one we see today. Producers would experience prolonged periods of elevated costs to have their operations running. The Strait of Hormuz has various resources other than oil that producers at the global scale demand to function efficiently. These include diesel, gasoline, LPG, naphtha, and other intermediates fundamental for chemical production. Currently, with this significant deficiency in chemical supply, costs have inflated

significantly quick as production markets have tightened. Plastics, fertilizers, pharmaceuticals, and consumer goods have all dropped in supply and it has caused a severe inflation for all.

The decreased transportation of oil has prevented global transportation to mutually lower, with effects spreading to maritime shipping, air cargo, and port logistics. The Strait of Hormuz has gone from an average of 129 ships crossing by day to now 6 ships. This ~95% drop, according to the United Nations Committee on Trade and Development (UNCTAD), has reduced volumes and higher risk costs for oil and natural gas. Agriculture and food supply have also been gravely impacted due to the energy deficiencies, with an increase in import, fertilizer, and transport costs. Hence, developing countries which rely on imports for their storage of food are damaged and more billions of people become inflicted by the rising prices for this basic necessity.

In the economic landscape, investors have witnessed the financial drops and avoided the risks, which has led to capital outflows due to their absence. "*Typically*," says the director of the IMF research department Pierre-Oliver Gourinchas, "*when we have uncertainty in the global economy, when there is a risk-off episode, investors look for safety.*" This is evident with stock market crashes and rising inflation for prices all around the world. Workers have demanded greater wages due to rising costs of production and transportation, leading firms to compensate for this and increase their prices which further harms their status.

Perspectives

Socio-economic organizations such as the IMF and UNCTAD view this situation as a macroeconomic disaster at a global scale. According to the UNCTAD, "*If the situation persists, disruptions to trade and financial markets could deepen, increasing the risk of a broader, cascading crisis*." Inflation, to them, is one step behind what can be a global supply shock amplified in all forms if the atrocities continue. IMF, on the other hand, warns of spirals in wages and prices along with transmissions caused from inflation. They believe that the crisis will lead to instability, affecting energy, trade, and finance which inclines them to develop preventative systems against this.

Financial corporations such as J.P. Morgan has a different approach towards the issue; they see fragmentation between nations as each one has their individual effects depending on the region they are located in. The U.S. tariffs have also been a mass contributor for inflation. Wages have varied between regions with differences in the labor market as developing nations are financially more affected than ones with greater wealth. Europe, for instance, has had an easier time with inflation.

At a closer percentage, and as mentioned earlier, 3.4 billion people live in countries with financial constraints. Nigeria and Kenya have risen prices on fertilizers, fuel, and food costs,

which directly have hit basic consumption. In mainly Africa, approximately 16 million are in danger of food insecurity due to these rising prices. Currencies are in debt and nations like these which rely on imports must face the consequences of more expensive transportation. Southeast Asia isn't that different either with a large portion of their GDP going towards energy imports. Now, these regions are exposed to energy and price shocks that may affect their millions of populations in the process.

In Latin America and the Caribbean, there is a forecast for a 6.6% growth in inflation due to food and oil prices rising. The dependence on energy dependence and debt in countries like Venezuela and Haiti is already worsening the humanitarian crises prevalent within those nations. Furthermore, nations reliant on tourism are suffering from increased flight prices. Even oil exporters in Brazil aren't in much luck from this as while they may gain revenue, they still suffer from domestic inflation.

Developed countries like the US, the UK, and other European states are affected by the inflation however are more resilient to it. This is because of their transitions to renewable energy being more strong than in developing countries, as well as their ability to provide for themselves. Gas prices do rise, but not significant financial collapse in other nations which are prone for worse.

Implications

With 20% of the world's oil source being at a blockade, this is a crisis that has damaged nations financially and the daily lives of civilians, especially in developing nations. The Strait of Hormuz is too valuable to be lost as prices for transportation grow. Global trade is at a deficit as the developed nations suffer smaller issues compared to the billions who rely on wages, imports, energy, and tourism to stabilize their economies. With ceasefires approaching, the conflict is less severe for the Middle East yet nations continue to be significantly affected by what has occurred over the last two months.

UNCTAD, IMF, and JP Morgan all have forecasts about this year's inflation rates, with all patterns about the continuation of the war leading to solely worse spirals and deficiencies in necessary resources for nations to be sustainable. Transportation and production of goods have been at such a low supply as more and more people fail to afford basic needs for their survival.

Sources

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